

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELOTON INTERACTIVE, INC.

v.

FLEXPORT INTERNATIONAL LLC

**RESPONDENT'S RESPONSE TO COMPLAINANT'S THIRD MOTION FOR
MODIFICATION OF THE SCHEDULING ORDER**

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel and files this, its Response to Complainant's Third Motion for Modification of the Scheduling Order and in support thereof states as follows:

I. Discussion.

It is (again) with profound regret that we must continue to bring to the attention of this tribunal the actions of Peloton – and more precisely its counsels – who continue to demonstrate a contumacious disregard for the Commission, its rules and its time.

As will be set forth herein, there is absolutely no basis to extend the deadlines in this case, and, in fact, no basis at all that the Commission should further entertain this matter.

As Flexport has repeatedly maintained, Peloton and its counsel have been engaged in a fishing expedition and a calculated effort to make this frivolous litigation as expensive and time-consuming as possible.

First, Peloton filed a complaint that was so devoid of any factual support that a motion to dismiss was necessary. Indeed, as the ALJ noted in its Order dated September 25, 2024, it would have been more appropriate for Peloton to request leave to amend the complaint rather than force motion practice.

Flexport has always maintained that it simply had no idea what Peloton's claim is – what was the dispute for each of the shipments. Flexport billed detention and demurrage based on its rules tariff (as agreed to by Peloton), as expressly set forth in the parties' agreements (which are alleged in the Amended Complaint to govern the transactions) – facts which are undisputed. The basis for Peloton's dissatisfaction, (whether it was an incorrect rate, incorrect calculation of days, errors in billing) and the information associated with Peloton's claim was requested numerous times by Flexport – prior to the complaint being filed, prior to the motion to dismiss being filed, and continuing to this very day. More on this below.

Incredibly, counsel for Peloton repeatedly stated that he did not need to provide any basis for Peloton's claims. Of course, the ALJ disagreed and Peloton was ordered to amend its complaint.

But the Amended Complaint still did not provide any details as to what issues were claimed with respect to each invoice even though there were in excess of 3,200 invoices without critical specifics as to time frames. Again, counsel for Peloton advanced the spurious position that no additional information was required.

Flexport then filed a motion for judgment on the pleadings. Notably, part of this motion concerned the fact that the claims – more than 2,000 of the 3,200 invoices at issue – were time-barred. But, in its response to the motion, Peloton argued that it did not only seek reparations, but a cease and desist order as well. As such, it was Peloton's position that discovery was required for the period from January, 2000 through the present day, rather than from May 1, 2021 (three years prior to the complaint being filed).

Yet, Peloton was well aware that Flexport had not provided any services within the jurisdiction of the Commission since mid-2022. Despite knowledge of this fact (and the case law which clearly holds that a cease and desist order is not warranted if the parties no longer do

business), Peloton nevertheless persisted in its position – in its complaint, amended complaint, response to motion to dismiss, response to motion for judgment on the pleadings, its motion to compel, as well as its response to Flexport’s motion for protective order – that its claim for a cease and desist order justified discovery well past the three (3) year statute of limitations.

At the hearing held on March 25, 2025, the ALJ strongly suggested that counsel for Peloton reconsider its position as to these claims. Peloton thereafter finally abandoned same. Of course, Peloton, in withdrawing the claims, still had to argue that they had a good faith basis to assert same, despite having absolutely no good faith basis or credibility. All of that was unnecessary.

And then we get to Peloton’s discovery responses - which were clearly designed to mandate a motion to compel. In short, as more fully set forth in Flexport’s Motion to Compel, Peloton asserted numerous boilerplate objections to each and every discovery request, including the most basic of questions such as the identity of witnesses and the factual bases for the claims. Yet, Peloton asserted these simple, narrowly-tailored requests which related directly to the claims at issue to be “harassing”, not calculated to seek relevant evidence, somehow privileged, and a litany of other frivolous objections. Each response also referred to Peloton’s massive document production – which at the time had not even been produced. And each response (if any) was always provided “subject to” the foregoing frivolous boilerplate objections.

At the hearing, the ALJ rejected the use of boilerplate objections and the use of semantic games, noting that, if evidence is admissible, the parties should just need to provide it. The ALJ also rejected the use of response which are “subject to” the objections, noting that parties unfortunately do this all the time in case and it doesn’t seem to make a difference.”¹

Moreover – and of utmost importance – the Order mandated that Peloton specifically

¹ These are “quotations” from the AI-generated transcript of the hearing.

identify each and every document which it contended was responsive to each interrogatory and request for production.

Now, two weeks later – Peloton still has not provided this information. In fact, the undersigned requested, multiple times, when the supplemental responses would be provided. Counsel for Peloton has refused to even provide an estimated date.

In short, at each stage of this litigation, Peloton and its seven (7) attorneys have created the delays for which they now seek yet another extension.

Further, the day after the hearing, Flexport took the deposition of Martina Majstorovic as Peloton's corporate representative. In the course of that deposition, Ms. Majstorovic was asked about specific information and documents. Instead of responding, however, Ms. Majstorovic was evasive and ultimately stated – over a dozen times – that Flexport could “find the answer” in the document production, in direct violation of the Order.

Unfortunately, this is only the tip of the iceberg.

First, despite the clear terms of the Order, at deposition Peloton's corporate representative refused to identify any specific documents but merely referred to the entire document production where “Flexport would be able to find the answers”. This is in direct contravention to the Order.

But it actually gets worse.

Discovery has only recently brought to light two disturbing facts. First, that Peloton, despite verifying the allegations of the Complaint and Amended Complaint, never in fact undertook any review of the underlying facts. Instead, all facts reviewed by Peloton were provided to it by its attorneys.

Second, Peloton's claims and this entire litigation were created and manipulated by its attorneys.

Again, Flexport has continuously requested that Peloton provide details of its dispute, and Peloton has consistently refused. And now we know why – Peloton has finally revealed that all of this information is in fact contained in a spreadsheet and other documents created by Peloton that details and outlines exactly what the alleged violations of the Shipping Act are for each invoice. Yet, not only were these documents never produced or even identified, but counsel for Peloton has actually stated that it they are privileged.

By way of explanation, Flexport recently took four (4) depositions: David Baitman, David Beyar, and Martina Majstorovic. Ms. Majstorovic also served as Peloton’s corporate representative.

In the course of this testimony, the following was discovered for the very first time:

1. That an audit of each Flexport invoice at issue in this case was undertaken by Peloton beginning in mid-2023;
2. That Peloton prepared a spreadsheet, or Google Suite, as part of this audit, showing the results derived therefrom, along with each issue purportedly uncovered as pertains to each and every invoice;

This audit was never disclosed and no document was ever identified or produced relating thereto. Instead, as counsel for Peloton stated on the record, this documentation was listed in Peloton’s privilege log. However, Peloton’s privilege log for these documents provided only as follows:

REVIEWID	To	From	CC	Privilege	Privilege Claim
FPFMC_CP002_000131301				Privileged Withhold	Attorney Client

That’s it. Peloton argues that this audit, and all documents derived therefrom, from every point in time, and which goes to the very heart of its case – is somehow privileged. It is noted that

Peloton does not assert that this audit and its related records are work product, but only that this is somehow a privileged communication.

The above has been established by conclusive sworn testimony. But this is where things get fuzzy.

It is undisputed from the testimony that David Baitman was in charge of the audit. It is also undisputed that David Beyar was the primary employee who conducted the audit, at the direction of Mr. Baitman. Both Mr. Baitman and Mr. Beyar testified to this fact. The issue, however, is when counsels became involved – internal and/or external.

Mr. Beyar testified first. He testified clearly (despite his testimony being replete with evasive responses or non-responsive answers) that when he compiled the Google Suite documents it was not upon the instructions of attorneys at Peloton, either internal or external. (Dep. Beyar at 165:2 – 25).

Mr. Beyar further stated that, when he was tasked to compile the Google Suite document, there was no mention whatsoever of any litigation against Flexport. (Dep. Beyar at 166:1 – 4.

Mr. Beyar further testified that the Google Suite document – which he prepared prior to any mention of litigation and not on the instructions of counsel, contained all of his notes for the shipments. (Dep. Beyar at 166:15 – 168:11).

Mr. Beyar also made it clear that that Peloton engaged Flexport in communications regarding Peloton's audit findings in **January or February 2024**. (Dep. Beyar at 157:8 – 157:25).

David Baitman corroborated this testimony. He testified unequivocally as follows:

1. That he was in charge of the audit:

“It was completed, but I'm the one who started them auditing it. Like, I'm the one that directed the team to start the audit. I'm the one who directed the team what things to look for in the audit. I'm the one who sat with the team their first couple of audits to say, "Show me how you're doing this." And we agreed to what the

process was.” (Dep. Baitman at 229:6 – 229:12).

2. That, after these discussions with Flexport (in January or February 2024) were unsuccessful, he suggested that Peloton discuss with in-house counsel the findings of the audit. (Dep. Baitman at 186:12 – 189:1; 229:6 – 230:13; 272:10 – 273:1).

Seems clear so far. But then we come to Peloton’s corporate representative, Martina Majstorovic, which took place a few days after Mr. Baitman. Ms. Majstorovic’s responses were carefully orchestrated, deflective and non-responsive. But her testimony directly contradicted the testimony of Mr. Baitman and Mr. Beyar, both with respect to the directions on how to conduct the audit, the results, and when Peloton first contacted counsel.

Specifically, Martina Majstorovic, on behalf of Peloton, testified as to the following:

1. That Peloton first contacted outside counsel Holland & Knight in September, 2023. (Dep. Peloton at 125:15 – 18).
2. In fact, Ms. Majstorovic testified that Mr. Baitman had advised her – in September 2023 – that he had been in contact with counsel regarding the audit. (Dep. Peloton at 58:3 – 61:6).
3. That she and David Baitman met with outside counsel in October 2023. (Dep. Peloton at 92:1 – 92:15).
4. Ms. Majstorovic also testified that Mr. Beyar was in contact with counsel regarding the audit between September and October 2023 and then into 2024. (Dep. Peloton at 89:11 – 90:20)
5. That the audit was conducted after consulting counsel. (Dep. Peloton at 124:7 – 125:1)
6. The audit sheet was done “in coordination” with counsel. (Dep. Peloton at 120:11 – 121:2)

7. That, after consulting with outside counsel, Peloton produced a “more extensive audit”.
(Dep. Peloton at 124:12 - 125:1)

8. The spreadsheet from the audit was a “work in progress” and was “produced in its extent with all the audit information post-discussions with counsel beginning in September through the latter half of 2023 and onwards.” (Dep. Peloton at 125:7 – 18).

So, there seems to be some confusion – and perjury – as to how this audit was conducted and when counsel was consulted regarding same.

But in the end it does not even matter because it is clear that counsel for Peloton deliberately concealed the audit and any documents relating thereto. Peloton’s counsel either directed the audit, or knew about it after the fact, and had this knowledge (or lack thereof) in hand when they filed the initial complaint. The testimony unequivocally revealed that this audit and the related documents contained the very details of Peloton’s alleged issues with the subject invoices which Flexport had been asking for since prior to the filing of the complaint.

When questioned as to whether any of the documents from the audit – including any documents produced prior to the retention of counsel – Ms. Majstorovic (on behalf of Peloton) was again typically evasive and non-responsive. Ultimately – after being asked several times – she testified that all of the drafts of the documents (develop prior to retention of counsel) were “rolled up into the audit sheet” and deliberately not produced. (Dep. Peloton at 127:22 – 130:17).

Two days later, Ms. Majstorovic again testified, this time in her individual capacity. Ms. Majstorovic was the individual who verified the initial complaint, the amended complaint and the responses to interrogatories. When questioned as to whether she had made any independent assessment as to the validity of the facts as alleged in the complaint prior to signing the verification, Ms. Majstorovic was again evasive and non-responsive. In fact, the question was asked of her six

(6) times before she finally admitted that she had not done so, other than with consultation with Peloton's counsel. (Dep. Majstorovic (rough) at 140 – 142).

Likewise, with respect to the interrogatory responses – which improperly referred to Peloton's document production – Ms. Majstorovic was asked whether she had done any independent assessment as to whether the information requested by the interrogatories was actually contained in the documents. Ms. Majstorovic was again evasive, before finally responding that “to the best of my knowledge that was what was done in discovery.” But when it was pointed out that such was done after the fact and she was asked to clarify whether, at the time of signing the verification, she knew that the information was contained in the documents, Peloton's counsel objected and instructed her not to answer. (Dep. Majstorovic (rough) at 111 – 115).

Counsel for Peloton then actually testified that “when we provided an answer to an interrogatory, it is a counsel answer.” (Dep. Majstorovic (rough) at 114).

And then we look at the interrogatory response – particularly # 22 – which asked Peloton to “Identify specifically Peloton's internal review procedures with respect to the Subject Invoices”.

After asserting its numerous boiler-plate objections, counsel for Peloton responded:

Peloton responds that when an invoice was received from Flexport, the invoice would be uploaded into the Coupa software platform. Invoices in the Coupa platform would then be reviewed by a business process owner and any other necessary approvers. Peloton further responds that following internal discussions, Peloton decided to bring in dedicated internal resources for freight spend and audit in late 2022.

No mention was made at all of the audit at issue which commenced in August 2023.

Request for Production # 34 sought “all documents or spreadsheets generated by You reflecting, for each Subject Invoice, the date of issuance of the invoice, the applicable house bill of lading number, the container number, and a breakdown of the charges owed (i.e. what the

amount is for detention, demurrage, storage, transportation, etc.).

Counsel for Peloton responded – after its plethora of objections, including that the term “spreadsheet” was vague and ambiguous – “Notwithstanding the foregoing Objections, Peloton will produce relevant spreadsheet files and documents that contain shipment terms in the manner that Peloton maintained this information in the ordinary course of business.”

No audit or spreadsheets were mentioned or ever produced.

And now we get to Exhibit “A” attached to the Amended Complaint, which Peloton alleges contains each charge for which Peloton asserts a Shipping Act violation occurred.

Ms. Majstorovic, as corporate representative of Peloton, testified that Exhibit A was created as a direct result of the extensive audit. (Dep. Peloton at 262:25 – 265:18).

However, when questioned as to who created Exhibit A and how the information therein was gathered and organized, counsel for Peloton asserted privilege and work product. (Dep. Peloton at 169:2 – 172:15).

II. Conclusion.

There is clearly some dispute (solely within Peloton itself) as to when Peloton’s attorneys were retained and what involvement they had with the audit and the documents derived therefrom.

But what is clear is that, regardless of when they were retained, Peloton’s attorneys have deliberately concealed the very existence of this audit and the related documentation. Peloton’s attorneys:

1. Provided all of the documents and information to Ms. Majstorovic which she relied upon in verifying the initial complaint, the amended complaint and the responses to interrogatories;
2. Did not identify the audit in response to interrogatories;

3. Did not identify the documents, including the spreadsheets, resulting from the audit;
4. Prepared a privilege log with absolutely no indication as to what was being protected – and asserting only attorney-client privilege, not work product;
5. Refused to provide any information – both prior to litigation and afterwards – as to the specific issues Peloton allegedly had with the charges, claiming that they “didn’t need to”;
6. Prepared and submitted “Exhibit” A to the Amended Complaint – but then refused to allow their client to testify as to same;
7. Have refused to advise when the supplemental discovery responses will be provided, despite the Order requiring them to do so;
8. Allowed their client to testify by reference to the mass production in violation of said Order; and
9. Asserted – multiple times – that Peloton was entitled to a cease and desist order when it was fully aware that there was no basis for same.

Against this backdrop, Peloton’s attorneys are claiming that they need additional time to conduct discovery? Peloton has created the delays in this litigation – multiple times – and now claim that it needs more time – because of Flexport?

Peloton has simply refused to comply with the Order of the ALJ and its obligation to identify its claims.

To be clear, Peloton has engaged in a fishing expedition, claiming all along that Flexport has all of the information that Peloton needs to meet its burden in this case. Yet, once again, Peloton and its counsel have not been forthright with this tribunal. Clearly, Peloton has had this information

– whatever it may be – all along.

By Peloton’s own testimony (through its corporate representatives and its counsel), Flexport has never been told what the alleged violations are nor how Flexport violated any laws, rules or regulations; this has been consistent with the communications as well as Peloton (and their counsels) approach to discovery. The answer is for Flexport to just figure it out.

It is Flexport’s position that the request to extend the deadlines should be summarily denied. Flexport also notes that it will be moving for sanctions against Peloton and its counsel for the fraud upon this tribunal, amongst other remedies as indicated herein and which shall be more fully briefed in the forthcoming motion(s). Nevertheless, at this point it is clear that Peloton and its counsel have protracted and delayed this litigation by way of its intentional obstruction of the pleadings and the discovery process and cannot be allowed yet even more time for discovery.

Dated: April 9, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I **HEREBY CERTIFY** that a true and correct copy of the forgoing was served on April 9, 2025, via electronic mail, which shall notify all parties of record on this matter.

By: /s/ Robert Borak
Robert M. Borak, Esq.